May CPI – underlying pressures firm

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Share

Monthly May CPI –0.7%mth/4.0%yr, Trimmed Mean 0.4%mth/3.6%yr.

- May CPI fell –0.7%mth/4.0%yr, below both our forecast and market expectations, with the downside surprise concentrated in holiday travel and clothing & footwear.
- Underlying inflation firmed, with trimmed mean inflation in line with our expectations at 0.4%mth/3.6%yr. The three-month annualised pace lifted to 3.8%.

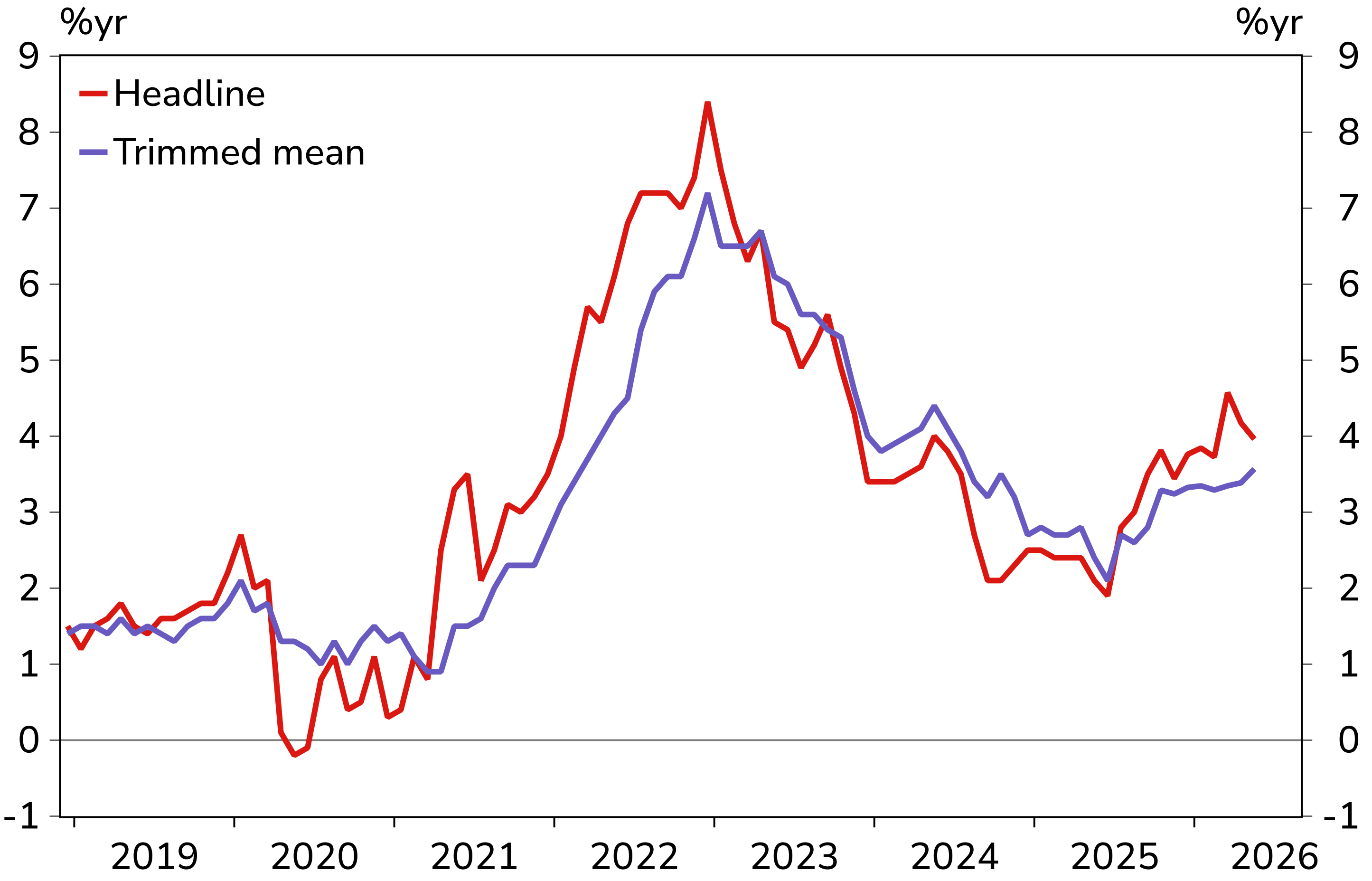
- Housing remains the key inflation pressure point, with new dwelling costs posting their strongest monthly increase since late-2022 and rents also surprising on the upside. There is also stronger evidence that pressures are broadening particularly within services.
- While oil and commodity prices have eased from recent highs, we expect further pass-through into consumer prices over coming months as earlier cost increases continue to filter through the economy. This is likely to keep inflation uncomfortably high for the RBA who will be concerned about high inflation becoming embedded in domestic wage and price setting behaviour.

The May CPI fell –0.7%mth to be up 4.0%yr. This was below our estimate of –0.3%mth/4.4%yr and market expectations of –0.4%mth/4.3%yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped –0.1%mth, compared with our estimate of +0.2%mth.

The key drags on headline inflation were transport (–0.4ppts), with fuel prices falling 11.9% in the month, clothing & footwear (–0.1ppt) and recreation & culture (–0.4ppts). The latter two accounted for nearly all of the miss in our monthly result, with domestic travel also softer than anticipated. Balancing this was strong outcome in the housing component, which added+0.1ppt, with a broad-based pick-up across electricity, rents and new dwelling costs.

While headline inflation was softer than projected, trimmed mean inflation came in-line with our forecast, rising 0.4%mth/3.6%yr (slightly softer at the second decimal place). The three-month annualised rate has picked up to 3.8% from 3.1% in February, before the breakout of the Middle East conflict.

Headline and trimmed mean inflation



Source: ABS, Macrobond, Westpac Economics

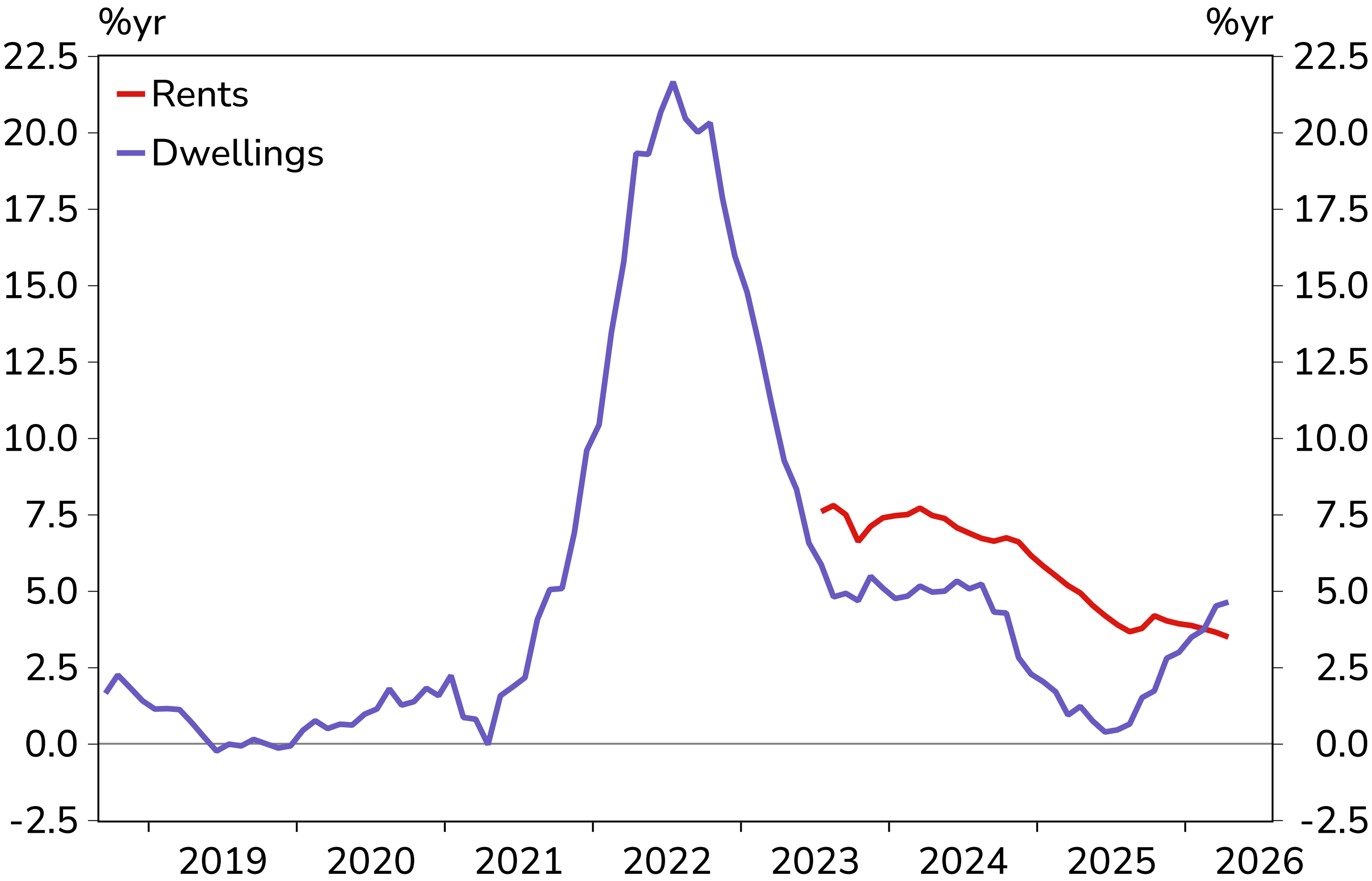
New dwelling costs rose by a stronger than expected0.9%mth/5.6%yr, the strongest monthly increase since December 2022. The ABS again pointed to project home builders raising base prices to pass through fuel surcharges and higher material costs.

We had flagged upside risks to this. Builder material price notifications data, showed a 17% in average prices in May in seasonally adjusted terms, with data pointing to an easing to 11% in June and 9% in August, but still well above average levels. That points to ongoing pipeline pressure on build costs ahead.

Rents were also firmer than we had expected at 0.4%mth. We also think there is further upside here given trends in advertised rents which take some time to flow through to CPI rents.

At this stage, housing inflation remains the key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence for trimmed mean inflation, this keeps upside risk in focus and is likely to keep the RBA uneasy.

Housing inflation – rents and dwellings



Source: ABS, Macrobond, Westpac Economics

Overall, food inflation came in largely as expected (0.6%mth vs 0.7%mth expected), however there were some swings at the expenditure class level. Dairy products were a key upside surprise rising 2.3%mth. This likely reflected some temporary fuel surcharges announced by grocers across dairy products. At the other end fruit & vegetables rose by less than we expected (1.1%mth vs 2.9%mth expected). Food prices is an area we'll be paying close attention to in H2. We are yet to see the impact of higher fertiliser costs, which is having an impact on farmers planting decisions, and when combined with an El Nino event could see larger food prices increases in late-Q3 onwards.

Market services excluding volatiles fell –0.3%mth, with the year-ended rate lifting to 3.2%yr. Excluding volatiles and holiday travel, prices rose 0.2%mth/4.2%yr, in-line with expectations. Areas that showed more pronounced increases include: audio, visual and computing & media services (1.2%mth/10.5%yr); restaurant meals (0.4%mth/3.9%yr, takeaway foods was also strong 0.5%mth/4.1%yr); dwelling and motor vehicle repair costs (0.7%mth/3.7%yr and 0.9%mth/6.3%yr respectively). All of these are running at their highest annual pace in the full monthly series and there is risk of further upside given our expectations for stronger wage outcomes in H2 2026.

Overall, underlying pressures are broadening after showing more contained signs in March and April. The share of the CPI basket that is running above 3% at a three-month annualised pace is just under 50%, after recording low-40s reads the past two months. This is also the highest share since around October 2025.

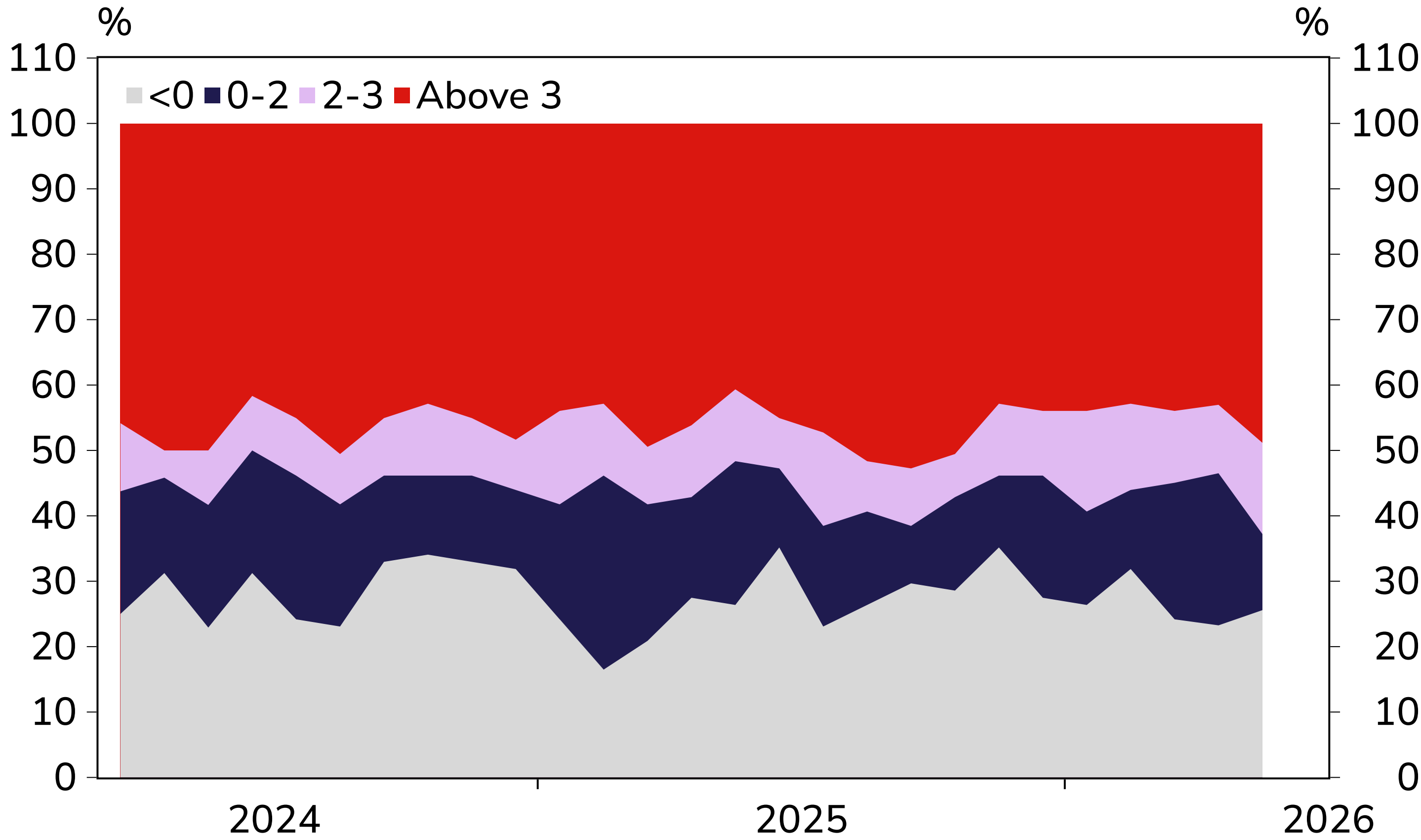
The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices are off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

The May data reinforce the RBA’s concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. The post-meeting statement had already given a stronger steer than recent communication, with the Board adding that it was prepared to increase the cash rate further “if required”. Governor Bullock repeated this point in the media conference. That looked deliberate, and suggests the Board wanted to push back against speculation that it is done hiking.

Inflation Sub-Categories

Three-Month Annualised Growth, Share of Basket



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI Jun-26 % yr	Monthly CPI Mar-26 % yr	Apr-26 % yr	May-26 % yr	WBC fcs May-26 % yr fcs
Food	3.4	3.1	2.8	3.3	3.4
of which, bread & cereals	1.4	0.6	0.7	1.5	1.4
of which, meat & seafood	5.5	4.8	5.0	5.4	5.4
of which, dairy & related products	2.8	2.5	2.3	5.2	2.8
of which, fruit & vegetables	3.3	1.8	0.1	2.0	3.8
of which, food products nec	2.4	2.9	2.2	1.6	2.4
of which, non-alcohol beverages	1.9	2.2	2.0	1.5	1.8
Alcohol & tobacco	4.7	4.4	4.3	4.7	4.0
of which, Alcohol	2.1	1.7	1.6	2.2	1.4
of which, Tobacco	11.1	11.2	10.7	10.9	10.5
Clothing & footwear	4.6	7.1	5.9	5.0	6.1
of which, garments	2.3	4.3	3.1	2.1	3.7
Housing	6.6	6.5	6.3	6.5	6.3
of which, Rents	3.6	3.7	3.5	3.6	3.4
of which, House purchases	5.1	4.5	4.7	5.6	5.1
of which, Electricity	21.0	25.4	22.5	21.1	20.0
of which, Gas & other fuels	7.3	5.7	5.7	4.9	8.2
H/hold contents & services	1.5	1.4	1.2	1.7	2.0
Health	4.2	3.0	4.0	3.8	4.0
Transportation	3.1	8.9	6.6	3.3	3.1
of which, auto fuel	6.0	24.2	18.6	7.7	4.5
Communication	1.9	1.4	1.5	2.1	1.4
Recreation	5.3	2.8	2.5	2.4	5.6
of which, holiday travel	7.6	2.2	1.7	1.9	8.5
Education	3.8	4.8	4.8	4.8	4.8
Financial & insurance services	3.4	2.8	3.0	3.2	3.3
CPI: All groups % year	**4.4**	**4.6**	**4.2**	**4.0**	**4.4**

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